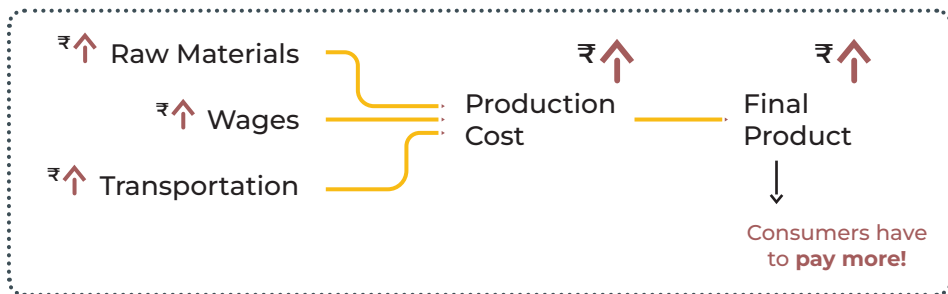


Further, the price of any product can increase due to -

Inflation

Inflation leads to an increase in prices of final goods due to an increase in production costs, such as raw materials and wages. The increased cost of production is passed onto the consumers in the form of higher prices of the final products or services.



Pricing Power

It refers to the degree of power a business has to increase its prices without letting its demand fall. For example, if Maggi increases its price from Rs. 10 to Rs. 12 per pack customers will still buy it. This indicates a high pricing power. However, if Spice Jet increases all its price fares by even 10% customers will switch to other flights. Therefore low pricing power exists in aviation industry.

If a company has a unique product, or a strong brand it can have a strong pricing power as there are no alternative products for the same and hence must pay the price charged. If there are lot of competitor products or services, the company will have a weak pricing power. Just sit back and ask, what will you do if a company increases its prices! If you will still consume, then company has pricing power and if not then the company does not have pricing power.

